

UIPATH, INC.

(NYSE: PATH)

Stabilization Is Not Reacceleration — Waiting for Proof

HOLD — \$13.50 Target

Equity Research Note · Technology — Enterprise Software / Automation · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$13.50	\$13.12	+2.9%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$6.8 bn (at \$13.12)	Non-GAAP gross margin	~85%
Net cash	~\$1.33 bn (~\$2.50/share; ~19% of mkt cap)	FY27E revenue guide	\$1.789–1.794 bn (haircut in model)
52-week range	~\$9.20 – \$19.84	Index	S&P MidCap 400 (added Dec 2025)
FY2026 revenue	\$1.61 bn (+13%)	Founder ownership	Dines ~20%
Q3 FY26 (Oct 2025)	First GAAP-profitable Q3: \$13 mn op. income	Next catalyst	Q4 FY26 earnings; Maestro adoption data

1 Investment Thesis

The existential question that has hung over UiPath — do large language models make robotic process automation obsolete? — has been answered, at least for now: agents need a body. AI agents can reason and plan, but someone still has to click the buttons inside legacy enterprise systems, and UiPath's robots — now paired with Maestro, its orchestration layer for governing fleets of agents from any vendor — are the most deployed such body in the enterprise. Founder Daniel Dines returning as CEO in mid-2024 and the December 2025 inclusion in the S&P MidCap 400 mark the company's rehabilitation from its post-IPO wilderness.

Our judgment: the agentic pivot is credible and the numbers are stabilizing, but stabilization is not reacceleration. The third quarter of fiscal 2026 (ended October 2025) delivered the company's first GAAP-profitable third quarter — \$13 million of GAAP operating income on \$411 million of revenue, up 16% year over year — with 85% non-GAAP gross margins and more than \$1.7 billion of cash against no meaningful debt. That is a healthy software business. It is not yet a reaccelerating one, and 16% growth after the brutal deceleration of 2023–2024 deserves measured — not enthusiastic — interpretation.

The competitive field is the most dangerous in enterprise software: Microsoft, OpenAI, and every hyperscaler are building agent orchestration natively into the platforms UiPath automates. UiPath's counter-thesis — that enterprises need a vendor-neutral governance layer with human-in-the-loop controls, audit trails, and cross-platform reach — is reasonable and early customer evidence (production agentic deployments at banks, insurers, and airlines) supports it. But reasonable is not proven. At \$13.12 the market prices a successful-but-not-dominant agentic transition, which is roughly fair. Our 10-year scenario DCF values the equity at a probability-weighted \$13.51 — bear \$6.79 / base \$13.21 / bull \$20.84 — essentially the current price, which is why this is a HOLD and not a BUY. We wait for proof.

The margin trajectory is the reward for patience if the pivot lands: FCF margins expanding from the mid-20s toward 30% on an 85% gross-margin base mean every point of revenue reacceleration converts almost fully to cash. UiPath does not need heroic growth to be worth materially more than \$13 — it needs growth to stop decelerating. That

asymmetry (margins doing the work that growth used to do) is what keeps this a HOLD rather than a SELL despite the platform risk: the business is healthy enough that time is an ally, provided the top line merely stabilizes.

2 Business Overview — What UiPath Is Doing

(New York, New York; CEO Daniel Dines)

UiPath, founded in 2005 in Bucharest, Romania by Daniel Dines and Marius Tirca and now headquartered in New York, is the market leader in robotic process automation. Its platform spans Studio (development), Orchestrator (management), and attended and unattended robots that execute workflows across enterprise applications. The 2021 IPO was one of the largest US software listings ever, valuing the company above \$35 billion; the subsequent years brought slowing growth, a cloud transition, and the 2024 leadership change that returned Dines to the CEO role.

The current platform strategy is agentic automation: Maestro orchestrates AI agents built by UiPath, Microsoft, OpenAI, or customers themselves; Autopilot offers natural-language workflow creation; and new AI models let robots interpret user interfaces without underlying API access. The commercial thesis is 'agents decide, robots execute, humans handle exceptions' — with governance built in from the start, which is what regulated enterprises require before they scale agents.

What the company is doing now

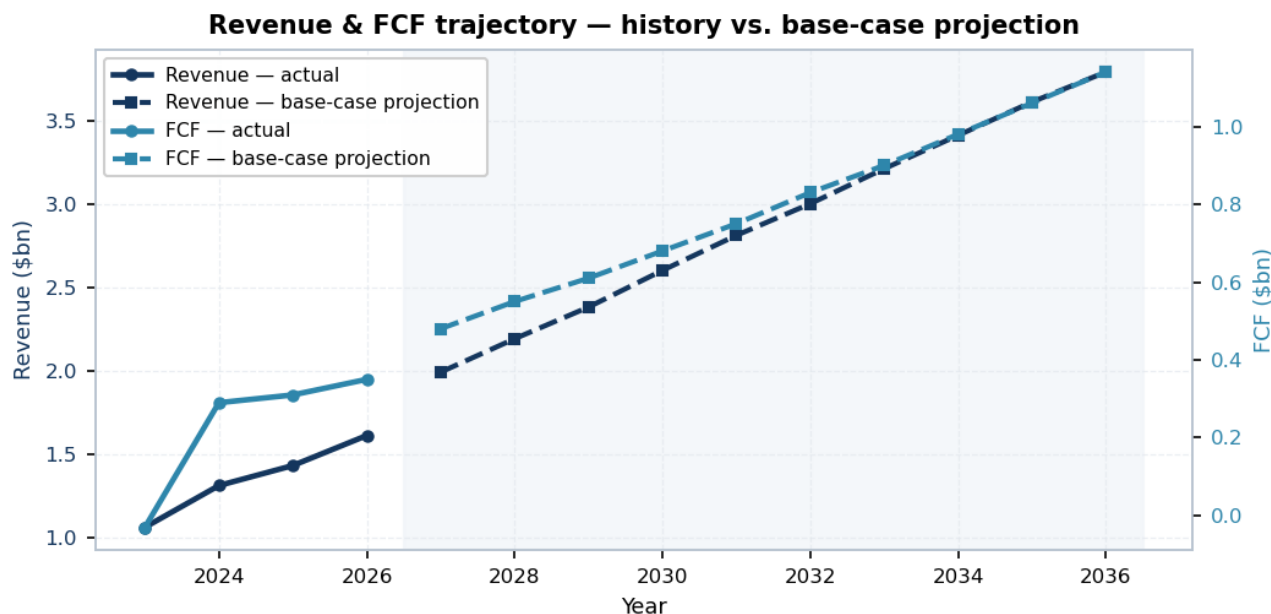
- **One underappreciated asset: the installed base.** Tens of thousands of enterprise customers with UiPath robots already embedded in their processes are the natural distribution channel for Maestro. Selling orchestration to a customer that already trusts your robots is a fundamentally easier motion than selling it cold — and it is why we give the agentic pivot better odds than a standing start would deserve. The installed base does not guarantee the transition, but it meaningfully shortens the sales cycle for it.

3 Financial Analysis

The financial profile is a healthy software business in rehabilitation: 85% non-GAAP gross margins, FCF margins gliding from ~24% toward 30% in the base case, and \$1.33 billion of net cash (~\$2.50 a share, ~19% of market cap) against no meaningful debt. Revenue: \$1.06B → \$1.31B → \$1.43B → \$1.61B (FY23–FY26), with FCF of -\$0.03B → \$0.29B → \$0.31B → \$0.35B. The model uses a 12% base discount — the speculative/risky tier, not the standard 10% — because a former high-flyer derated on the existential AI-agent disruption debate has not earned steady-compounder risk pricing. SBC remains a real drag (\$290.7M in FY26), and the model prices 3% annual share creep.

Base-case economics: ~7.8% ten-year revenue CAGR (FY27E \$1.79B haircut anchor, growth fading from 11% toward 5%), FCF margins 23.7%→30% by year 10, terminal growth 2.5%. The bear case (0.8% CAGR, margins compressing to 26%, terminal growth derated 40% to 1.5%) sits at \$6.79 — 48% below the price, a genuinely adverse outcome. The bull (\$20.84) assumes Maestro becomes the enterprise-standard agent governance layer with 11% sustained growth.

Revenue & cash-flow trajectory

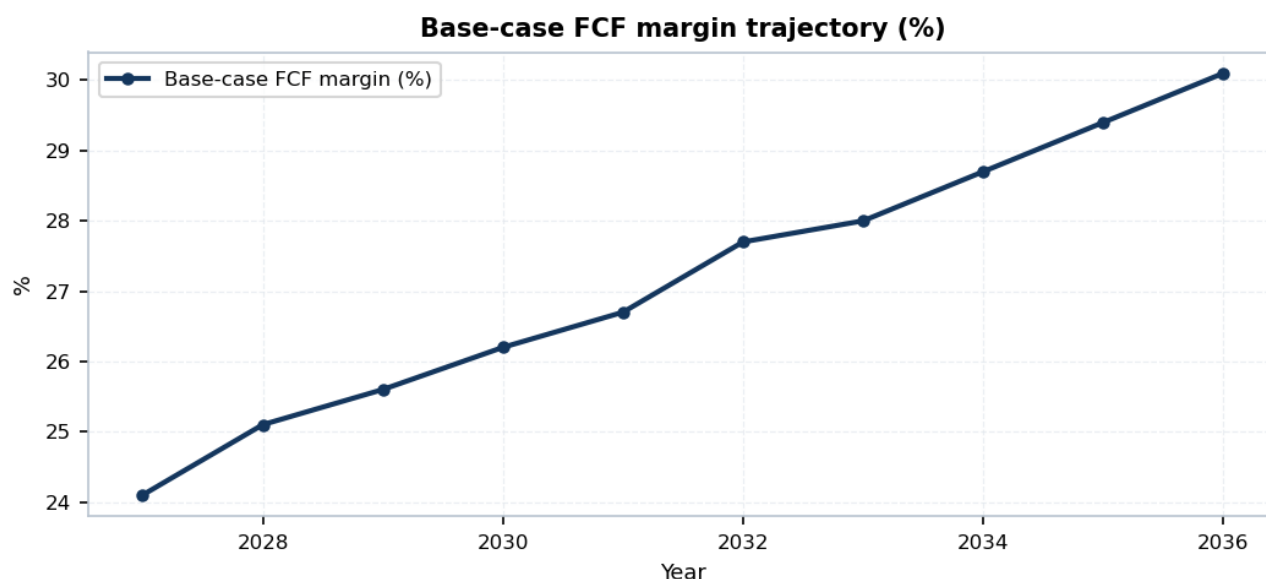


History: fiscal-year revenue and operating-CF-minus-capex (Yahoo; FY ends January). Projection: the model's base-case FY28–FY37 path (FY27E \$1.79B anchor). Shaded = projection.

4 Moat & Competition

- **The most deployed 'body' for enterprise agents.** UiPath's robots are embedded in tens of thousands of enterprises — the execution layer that AI agents need to touch legacy systems. Distribution is the moat's foundation.
- **Vendor-neutral governance positioning.** Maestro's pitch — govern agents from any vendor with human-in-the-loop controls and audit trails — is exactly what regulated enterprises require before scaling agents, and no hyperscaler can credibly offer neutrality.
- **Fortress balance sheet.** \$1.33B net cash funds the agentic R&D transition and opportunistic M&A without dilution.
- **Counterweight: the platforms own the battlefield.** Microsoft, OpenAI, and the hyperscalers build orchestration natively into the platforms UiPath automates. History favors the platforms — hence the 12% discount and the materially-weighted bear case.

Base-case FCF margin trajectory (%)



5 Valuation — 10-year scenario FCFF DCF, Fair Value \$14

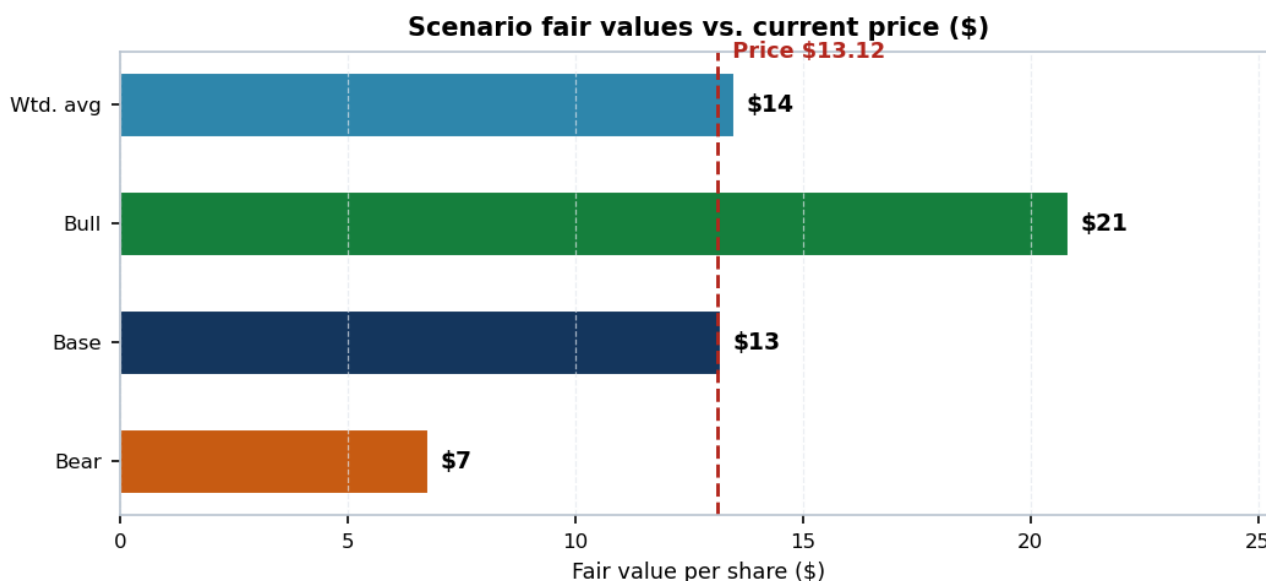
We value UiPath on a probability-weighted 10-year scenario DCF, weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 14.5% (base + 250bp), base 12.0% (the speculative/risky tier — a former high-flyer derated on the AI-agent disruption debate has not earned steady-compounder pricing), bull 10.5% (base – 150bp). Terminal growth is 1.5% / 2.5% / 2.5% on year-10 FCF at normalized margins — never peak margins. Net cash of \$1.325B is added in every scenario; bear-case dilution runs higher under stress. Terminal value is 29–59% of EV across scenarios, under the 70% guardrail.

The base case assumes ~7.8% ten-year revenue CAGR with FCF margins expanding 23.7%→30% on the high gross-margin base. The bear assumes platform absorption: growth stalls to ~1% CAGR, pricing power erodes, margins compress 400bp below base, and the terminal multiple derates 40% — a genuinely adverse outcome at \$6.79, well below the current \$13.12 price. The bull assumes Maestro becomes the enterprise-standard agent governance layer with 11% sustained growth and 33% terminal FCF margins.

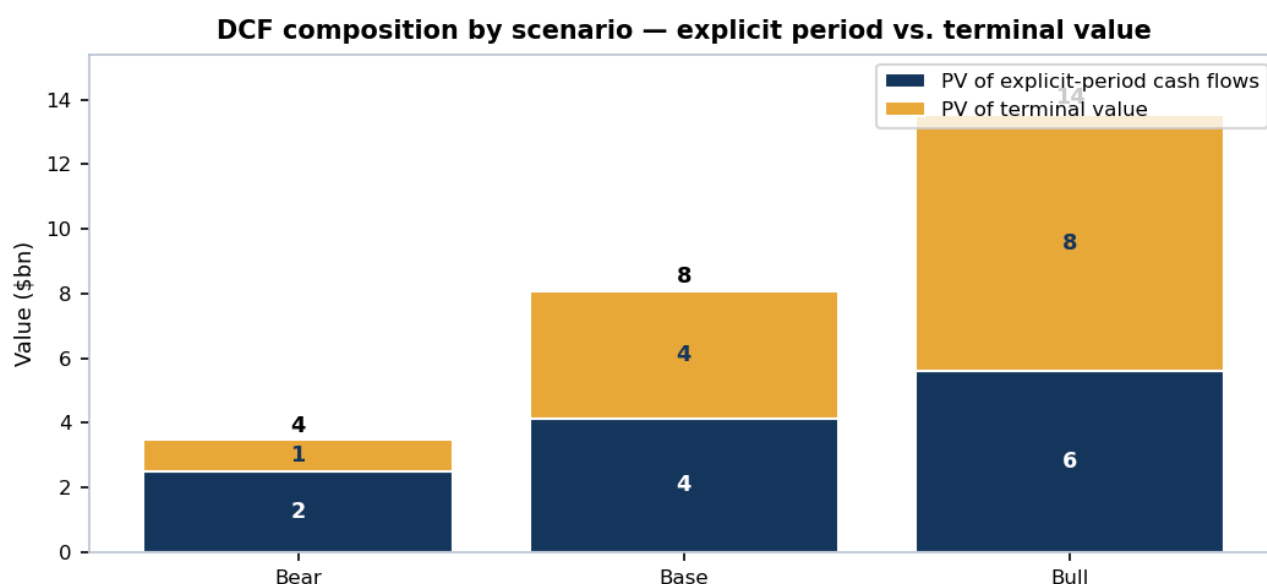
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Platform absorption: AI agents and Microsoft bundling cannibalize task-level RPA; growth stalls to ~1% CAGR; margins compress 400bp below base; terminal growth derated 40%.	+0.8%	26%	14.5% / 1.5%	29%	\$6.79
Base	Agentic pivot credible but not dominant; ~7.8% revenue CAGR; FCF margins 23.7%→30%; fortress balance sheet funds the transition.	+7.8%	30%	12.0% / 2.5%	49%	\$13.21
Bull	Maestro becomes the enterprise-standard agent governance layer; 11% sustained growth; 33% terminal FCF margins; NRR expansion.	+11.0%	33%	10.5% / 2.5%	59%	\$20.84
Wtd. avg	Probability-weighted (25/50/25) → \$13.50 target					\$13.50

Probability-weighted DCF value is \$13.51 ($0.25 \times \$6.79 + 0.50 \times \$13.21 + 0.25 \times \20.84), rounded to our \$13.50 target — essentially the current price, which is why this is a HOLD. Composition is on an EV basis; \$1.325B of net cash is added to reach equity fair value in every scenario.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Platform absorption.** Microsoft, OpenAI, and hyperscalers building native agent orchestration could marginalize a third-party layer — the \$6.79 bear case.
- **Growth reacceleration is unproven.** 16% is stabilization, and the agentic revenue contribution is still early.
- **Enterprise budget cyclicality.** Automation spending is deferrable in a downturn.
- **Seat-based pricing pressure.** Automation shifting toward consumption-based agent models compresses per-seat pricing.
- **Execution risk.** The product transition from deterministic RPA to agentic orchestration is still early.
- **Founder dependence.** Dines owns roughly 20% and the turnaround is closely tied to his leadership.

What would change our mind

Two consecutive quarters of accelerating revenue growth with agentic products called out as the driver — the single most important proof point — plus evidence of Maestro standardization (large enterprises deploying it as the cross-vendor agent governance layer) and net revenue retention inflecting upward on agentic expansion, would move us toward BUY. Conversely, growth decelerating back toward 10%, a major platform competitor launching a directly comparable orchestration layer with rapid adoption, or a large dilutive acquisition, would move us toward REDUCE.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts

are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.